

Japan Economic Flash: BOJ July MPM Preview: We Expect Status Quo in July, and Maintain View on Roughly Semi-annual Rate Hikes

- The Japanese economy is recovering moderately in line with the BOJ's outlook. Although price trends are currently somewhat weak, we expect rising upstream costs to spill over to consumer prices going forward. Under these circumstances, in its July Outlook Report, we believe the BOJ is likely to maintain its broad scenario that the economy will continue to grow moderately albeit at a decelerated rate, and that CPI inflation will increase due to higher crude oil prices, but will subsequently decline as the impact of higher crude oil prices wanes.
- However, with crude oil prices lower than when the April Outlook Report was published, we expect the BOJ to raise its growth forecasts and lower its price forecasts slightly in the July Outlook Report.
- We believe the BOJ will maintain the status quo at the July meeting, and continue to expect the next rate hike in January next year. However, the timing of rate hikes is likely to be significantly influenced by market developments and the degree of progress in communication with the government.

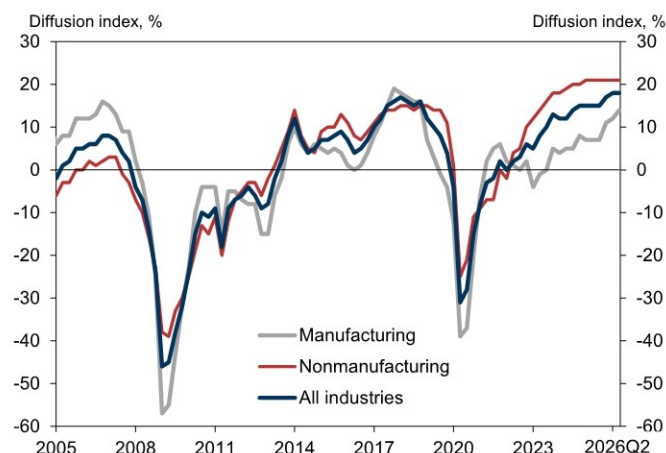
Akira Otani
+81(3)4587-9960 | akira.otani@gs.com
Goldman Sachs Japan Co., Ltd.

The Japanese economy is recovering moderately in line with the BOJ's outlook. Although price trends are currently somewhat weak, we expect rising upstream costs to spill over to consumer prices going forward.

To date, recent economic indicators have generally trended in line with the BOJ's outlook. The June BOJ Tankan survey confirmed that corporate business sentiment remains favorable with companies maintaining a positive investment stance even amid lingering uncertainties surrounding the Middle East situation (Exhibit 1, Exhibit 2). Furthermore, discussions at the July branch managers' meeting showed all regions reporting their respective economies as "recovering moderately," "picking up," or "picking up moderately," although "some weakness has been seen in part." This assessment broadly aligns with the BOJ's overall assessment of the economy at the June MPM ("Japan's economy has recovered moderately, although some weakness has been seen in part").

Exhibit 1: Business Sentiment Is Favorable

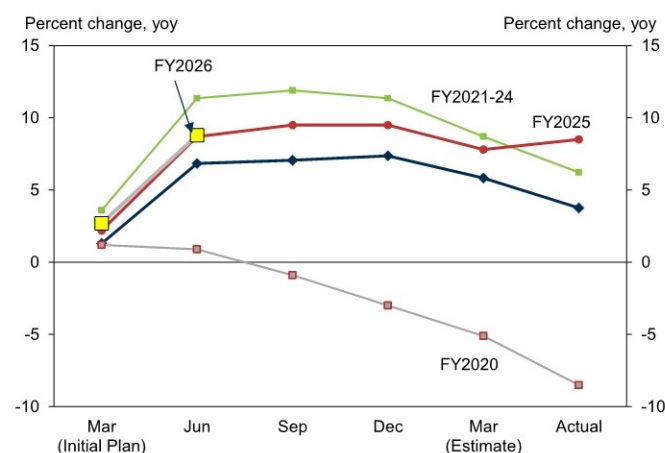
BOJ Tankan, Business Conditions DI (All Enterprise Sizes)



Source: BoJ

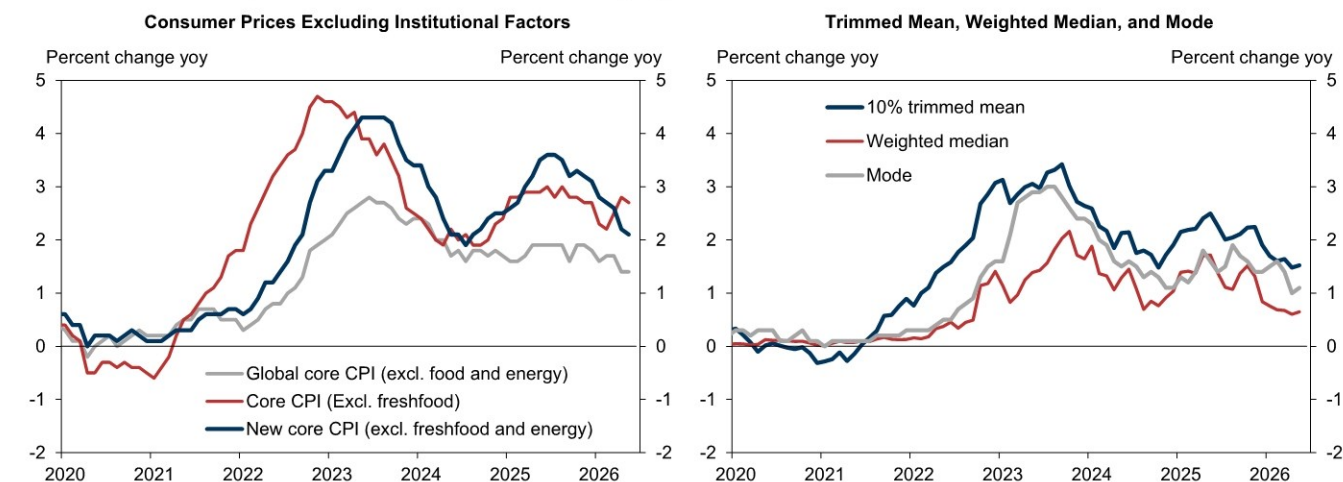
Exhibit 2: Companies Maintain a Positive Investment Stance

BOJ Tankan, Capex Plans (All Enterprises, Excludes Land, Includes Software & R&D Investment)



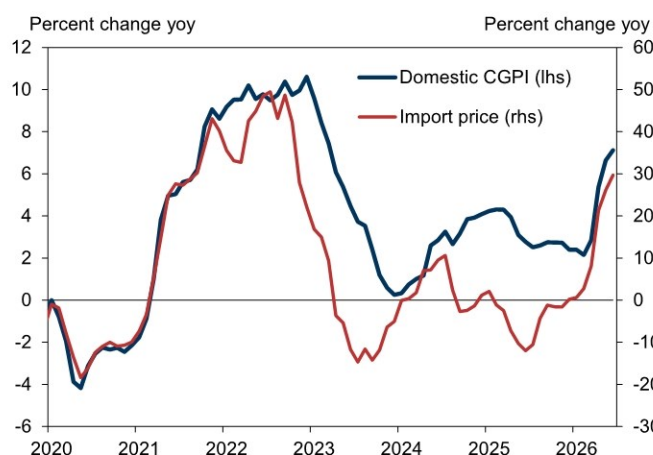
Source: BoJ

On the price front, the price revision period at the beginning of the fiscal year lacked broad-based price hikes, particularly for food items. Under these circumstances, even on a basis excluding the effects of government measures published by the BOJ, while core CPI growth has increased somewhat, growth in other indicators has slowed ([Exhibit 3](#)). However, domestic corporate goods prices are still rising, and we expect this to spill over to downstream B-to-C transactions from the summer and beyond, increasing inflationary pressure ([Exhibit 4](#), [Exhibit 5](#)).

Exhibit 3: Rise in Many CPI-Based Indicators for Underlying Inflation Has Slowed

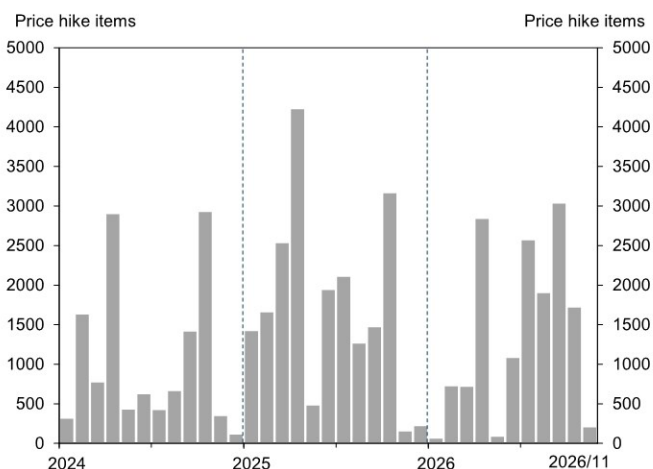
Source: BoJ

Exhibit 4: Domestic Corporate Goods Prices Are Still Rising
Domestic Corporate Goods Price Index and Import Price Index



Source: BoJ

Exhibit 5: Upward Pressure on Consumer Prices Is Expected to Increase From the Summer and Beyond
Number of Price Hikes by Month



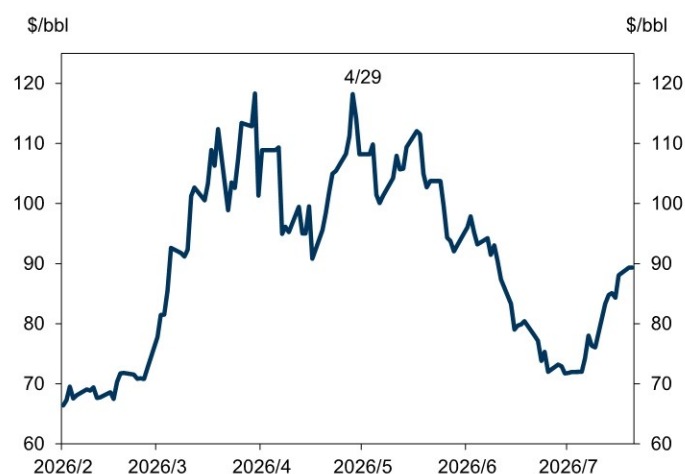
Source: Teikoku Databank, Data compiled by Goldman Sachs Global Investment Research

However, with Crude Oil Prices Lower Than in the April Outlook Report, We Expect the BOJ to Raise Its Growth Forecasts and Lower Its Price Forecasts Slightly in the July Outlook Report

Given the economic and price trends described above, we expect the BOJ, in its July Outlook Report, to maintain its broad scenario that the economy will continue to grow moderately albeit at a decelerated rate, and that CPI inflation will increase due to higher crude oil prices, but will subsequently decline as the impact of higher crude oil prices wanes.

Meanwhile, looking at movements in exchange rates and crude oil prices that serve as the basis of the July outlook, the USD/JPY rate has remained broadly flat just above ¥160 since the publication of the April Outlook Report, whereas spot crude oil prices are meaningfully lower than April, despite recent increases ([Exhibit 6](#)). This decline in crude oil prices will likely mitigate economic slowdown and ease upward pressure on prices. For this reason, in its July Outlook Report, we believe the BOJ will raise its growth forecasts for FY2026 and FY2027, while revising down its price forecasts based on lower energy prices, among other factors ([Exhibit 7](#)). As for the timing of underlying inflation reaching 2%, we expect the BOJ to maintain its judgment of “between the second half of fiscal 2026 and fiscal 2027”, provided that its broad outlook on prices remains unchanged.

Exhibit 6: Crude Oil Prices are Lower Than in the April Outlook Report
Outlook Report
 Brent Oil Spot Price



Source: Datastream, Bloomberg

Exhibit 7: We Expect the BOJ to Raise Its Economic Growth Forecasts and Lower Its Price Forecasts slightly in the July Outlook Report

	FY2026	FY2027	FY2028
New Core CPI (Excl. Fresh food and Energy; %)			
BOJ July Outlook (GS forecast)	+2.4	+2.5	+2.2
BOJ April Outlook	+2.6	+2.6	+2.2
Reference: GS economic outlook	+2.1	+2.3	+1.8
Core CPI (Excl. Fresh food; %)			
BOJ July Outlook (GS forecast)	+2.6	+2.2	+2.0
BOJ April Outlook	+2.8	+2.3	+2.0
Reference: GS economic outlook	+2.2	+2.3	+1.7
Consensus	+2.3	+2.3	+1.9
Real GDP (%)			
BOJ July Outlook (GS forecast)	+0.7	+0.8	+0.8
BOJ April Outlook	+0.5	+0.7	+0.8
Reference: GS economic outlook	+0.6	+1.2	+1.1
Consensus	+0.7	+0.9	+0.9

Source: BoJ, JCER, Goldman Sachs Global Investment Research

Regarding the balance of risks, with this year's *shunto* wage negotiations again achieving base pay rise in the mid-3% range and corporate profit levels remaining high, the Japanese economy appears to have a sufficient buffer against high crude oil prices. We therefore think the BOJ will judge that risks to the economic outlook are balanced, while risks to the price outlook are skewed to the upside. Furthermore, we expect the BOJ to reiterate the risk it acknowledged at the June meeting; namely, that with underlying inflation approaching 2%, there is "a risk of underlying CPI inflation deviating upward to a level above the price stability target of 2 percent."

Forecasting Status Quo to Be Maintained at the July Meeting, Still Expecting the Next

Rate Hike in January Next Year.

Since the BOJ only recently decided to raise interest rates in June and is currently in the process of closely examining the impact on the economy, prices, and financial conditions, we expect the Bank to keep its policy unchanged at the July meeting. As for the future policy stance, assuming no major changes to the broad outlook for economic activity and prices and its view on risks to this scenario, the BOJ is likely to maintain the guidance presented in the June MPM statement in its July Outlook Report, i.e. “given that...financial conditions have been accommodative, the Bank will continue to raise the policy interest rate and adjust the degree of monetary accommodation, in response to developments in economic activity and prices as well as financial conditions”.

Regarding future rate hikes, we continue to believe the BOJ will conduct gradual but steady rate hikes at intervals of around six months. This outlook is based on the assumption that the BOJ is not behind the curve, as suggested by Deputy Governor Shinichi Uchida at the press conference for the June meeting, and that the future pace of growth will be gradual. For this reason, we maintain our view on roughly semi-annual rate hikes.

With the policy rate being continuously raised, assessment of the economy and prices and the outlook, as well as risk assessments, are likely to become more important in future decisions on raising interest rates. Because of this, we believe the actual timing of rate hikes is more likely to be at meetings where the Outlook Report is published (January, April, July, and October), when analysis on these issues has been accumulated within the BOJ and assessments have solidified. Therefore, after the June hike, we see a high likelihood of a rate hike in January 2027, followed by July 2027.

However, there is considerable uncertainty over the timing of the next rate hike. Out of the four rate hikes since the lifting of the negative interest rate policy, the first two were at meetings where the Outlook Report was published, while the two most recent rate hikes were at meetings without the Outlook Report publication. Just prior to the two most recent rate hikes implemented since the inauguration of the Takaichi administration, meetings were held between Governor Ueda and Prime Minister Takaichi, following market turbulence and other factors, and it appears the BOJ decided to raise rates after gaining a sense that the government would not oppose a rate hike. Particularly under the Takaichi administration, market developments and the degree of progress in communication with the government are also playing a highly important role in determining the timing of rate hikes.

On the other hand, we see the BOJ’s assessment regarding the risk of underlying inflation exceeding 2%, which the BOJ emphasizes, will also be an important determinant of the rate hike timing. With underlying inflation approaching 2%, even minor changes such as further modest yen depreciation could significantly increase the risk of underlying inflation exceeding 2%. For this reason, we judge the probability distribution around the timing of the next rate hike to be skewed toward an earlier hike, including potentially as early as October of this year.

The Japan Economics Team

Akira Otani
+81(3)4587-9960
akira.otani@gs.com
Goldman Sachs Japan Co., Ltd.

Tomohiro Ota
+81(3)4587-9984
tomohiro.ota@gs.com
Goldman Sachs Japan Co., Ltd.

Yuriko Tanaka
+81(3)4587-9964
yuriko.tanaka@gs.com
Goldman Sachs Japan Co., Ltd.

Disclosure Appendix

Reg AC

I, Akira Otani, hereby certify that all of the views expressed in this report accurately reflect my personal views, which have not been influenced by considerations of the firm's business or client relationships.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

Contributing Authors: Akira Otani Goldman Sachs Japan Co., Ltd..

Unless otherwise stated, the individuals listed in the Contributing Authors disclosure of this report are analysts in Goldman Sachs' Global Investment Research division.

Disclosures

Regulatory disclosures

Disclosures required by United States laws and regulations

See company-specific regulatory disclosures above for any of the following disclosures required as to companies referred to in this report: manager or co-manager in a pending transaction; 1% or other ownership; compensation for certain services; types of client relationships; managed/co-managed public offerings in prior periods; directorships; for equity securities, market making and/or specialist role. Goldman Sachs trades or may trade as a principal in debt securities (or in related derivatives) of issuers discussed in this report.

The following are additional required disclosures: **Ownership and material conflicts of interest:** Goldman Sachs policy prohibits its analysts, professionals reporting to analysts and members of their households from owning securities of any company in the analyst's area of coverage. **Analyst compensation:** Analysts are paid in part based on the profitability of Goldman Sachs, which includes investment banking revenues. **Analyst as officer or director:** Goldman Sachs policy generally prohibits its analysts, persons reporting to analysts or members of their households from serving as an officer, director or advisor of any company in the analyst's area of coverage. **Non-U.S. Analysts:** Non-U.S. analysts may not be associated persons of Goldman Sachs & Co. LLC and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with a subject company, public appearances and trading in securities covered by the analysts.

Additional disclosures required under the laws and regulations of jurisdictions other than the United States

The following disclosures are those required by the jurisdiction indicated, except to the extent already made above pursuant to United States laws and regulations. **Australia:** Goldman Sachs Australia Pty Ltd and its affiliates are not authorised deposit-taking institutions (as that term is defined in the Banking Act 1959 (Cth)) in Australia and do not provide banking services, nor carry on a banking business, in Australia. This research, and any access to it, is intended only for "wholesale clients" within the meaning of the Australian Corporations Act, unless otherwise agreed by Goldman Sachs. In producing research reports, members of Global Investment Research of Goldman Sachs Australia may attend site visits and other meetings hosted by the companies and other entities which are the subject of its research reports. In some instances the costs of such site visits or meetings may be met in part or in whole by the issuers concerned if Goldman Sachs Australia considers it is appropriate and reasonable in the specific circumstances relating to the site visit or meeting. To the extent that the contents of this document contains any financial product advice, it is general advice only and has been prepared by Goldman Sachs without taking into account a client's objectives, financial situation or needs. A client should, before acting on any such advice, consider the appropriateness of the advice having regard to the client's own objectives, financial situation and needs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests and a copy of Goldman Sachs' Australian Sell-Side Research Independence Policy Statement are available at: <https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html>. **Brazil:** Disclosure information in relation to CVM Resolution n. 20 is available at <https://www.gs.com/worldwide/brazil/area/gir/index.html>. Where applicable, the Brazil-registered analyst primarily responsible for the content of this research report, as defined in Article 20 of CVM Resolution n. 20, is the first author named at the beginning of this report, unless indicated otherwise at the end of the text. **Canada:** This information is being provided to you for information purposes only and is not, and under no circumstances should be construed as, an advertisement, offering or solicitation by Goldman Sachs & Co. LLC for purchasers of securities in Canada to trade in any Canadian security. Goldman Sachs & Co. LLC is not registered as a dealer in any jurisdiction in Canada under applicable Canadian securities laws and generally is not permitted to trade in Canadian securities and may be prohibited from selling certain securities and products in certain jurisdictions in Canada. If you wish to trade in any Canadian securities or other products in Canada please contact Goldman Sachs Canada Inc., an affiliate of The Goldman Sachs Group Inc., or another registered Canadian dealer. **Hong Kong:** Further information on the securities of covered companies referred to in this research may be obtained on request from Goldman Sachs (Asia) L.L.C. **India:** Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (India) Securities Private Limited, Research Analyst - SEBI Registration Number INH000001493, 10th Floor, Ascent-Worli, Sudam Kalu Ahire Marg, Worli, Mumbai-400 025, India. Corporate Identity Number U74140MH2006FTC160634, Phone +91 22 6616 9000, Fax +91 22 6616 9001. Goldman Sachs may beneficially own 1% or more of the securities (as such term is defined in clause 2 (h) the Indian Securities Contracts (Regulation) Act, 1956) of the subject company or companies referred to in this research report. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Goldman Sachs (India) Securities Private Limited compliance officer and investor grievance contact details, a copy of the annual compliance audit report and other relevant information and disclosures can be found at this link: <https://www.goldmansachs.com/worldwide/india/research-analyst>. **Japan:** See below. **Korea:** This research, and any access to it, is intended only for "professional investors" within the meaning of the Financial Services and Capital Markets Act, unless otherwise agreed by Goldman Sachs. Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (Asia) L.L.C., Seoul Branch. **New Zealand:** Goldman Sachs New Zealand Limited and its affiliates are neither "registered banks" nor "deposit takers" (as defined in the Reserve Bank of New Zealand Act 1989) in New Zealand. This research, and any access to it, is intended for "wholesale clients" (as defined in the Financial Advisers Act 2008) unless otherwise agreed by Goldman Sachs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests is available at: <https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html>. **Russia:** Research reports distributed in the Russian Federation are not advertising as defined in the Russian legislation, but are information and analysis not having product promotion as their main purpose and do not provide appraisal within the meaning of the Russian legislation on appraisal activity. Research reports do not constitute a personalized investment recommendation as defined in Russian laws and regulations, are not addressed to a specific client, and are prepared without analyzing the financial circumstances, investment profiles or risk profiles of clients. Goldman Sachs assumes no responsibility for any investment decisions that may be taken by a client or any other person based on this research report. **Singapore:** Goldman Sachs (Singapore) Pte. (Company Number: 198602165W), which is regulated by the Monetary Authority of Singapore, accepts legal responsibility for this research, and should be contacted with respect to any matters arising from, or in connection with, this research. **Taiwan:** This material is for reference only and must not be reprinted without permission. Investors should carefully consider their own investment risk. Investment results are the responsibility of the individual investor. **United Kingdom:** Persons who would be categorized as retail clients in the United Kingdom, as such term is defined in the rules of the Financial Conduct Authority, should read this research in conjunction with prior Goldman Sachs research on the covered companies referred to herein and should refer to the risk warnings that have been sent to them by Goldman Sachs International. A copy of these risks warnings, and a glossary of certain financial terms used in this report, are

available from Goldman Sachs International on request.

European Union and United Kingdom: Disclosure information in relation to Article 6 (2) of the European Commission Delegated Regulation (EU) (2016/958) supplementing Regulation (EU) No 596/2014 of the European Parliament and of the Council (including as that Delegated Regulation is implemented into United Kingdom domestic law and regulation following the United Kingdom's departure from the European Union and the European Economic Area) with regard to regulatory technical standards for the technical arrangements for objective presentation of investment recommendations or other information recommending or suggesting an investment strategy and for disclosure of particular interests or indications of conflicts of interest is available at <https://www.gs.com/disclosures/europeanpolicy.html> which states the European Policy for Managing Conflicts of Interest in Connection with Investment Research.

Japan: Goldman Sachs Japan Co., Ltd. is a Financial Instrument Dealer registered with the Kanto Financial Bureau under registration number Kinsho 69, and a member of Japan Securities Dealers Association, Financial Futures Association of Japan Type II Financial Instruments Firms Association, and Investment Management Association of Japan. Sales and purchase of equities are subject to commission pre-determined with clients plus consumption tax. See company-specific disclosures as to any applicable disclosures required by Japanese stock exchanges, the Japanese Securities Dealers Association or the Japanese Securities Finance Company.

Global product; distributing entities

Goldman Sachs Global Investment Research produces and distributes research products for clients of Goldman Sachs on a global basis. Analysts based in Goldman Sachs offices around the world produce research on industries and companies, and research on macroeconomics, currencies, commodities and portfolio strategy. This research is disseminated in Australia by Goldman Sachs Australia Pty Ltd (ABN 21 006 797 897); in Brazil by Goldman Sachs do Brasil Corretora de Títulos e Valores Mobiliários S.A.; Public Communication Channel Goldman Sachs Brazil: 0800 727 5764 and / or contatogoldmanbrasil@gs.com. Available Weekdays (except holidays), from 9am to 6pm. Canal de Comunicação com o Público Goldman Sachs Brasil: 0800 727 5764 e/ou contatogoldmanbrasil@gs.com. Horário de funcionamento: segunda-feira à sexta-feira (exceto feriados), das 9h às 18h; in Canada by Goldman Sachs & Co. LLC; in Hong Kong by Goldman Sachs (Asia) L.L.C.; in India by Goldman Sachs (India) Securities Private Ltd.; in Japan by Goldman Sachs Japan Co., Ltd.; in the Republic of Korea by Goldman Sachs (Asia) L.L.C., Seoul Branch; in New Zealand by Goldman Sachs New Zealand Limited; in Russia by OOO Goldman Sachs; in Singapore by Goldman Sachs (Singapore) Pte. (Company Number: 198602165W); and in the United States of America by Goldman Sachs & Co. LLC. Goldman Sachs International has approved this research in connection with its distribution in the United Kingdom.

Goldman Sachs International ("GSI"), authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA, has approved this research in connection with its distribution in the United Kingdom.

European Economic Area: Goldman Sachs Bank Europe SE ("GSBE") is a credit institution incorporated in Germany and, within the Single Supervisory Mechanism, subject to direct prudential supervision by the European Central Bank and in other respects supervised by German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and Deutsche Bundesbank and disseminates research within the European Economic Area.

General disclosures

This research is for our clients only. Other than disclosures relating to Goldman Sachs, this research is based on current public information that we consider reliable, but we do not represent it is accurate or complete, and it should not be relied on as such. The information, opinions, estimates and forecasts contained herein are as of the date hereof and are subject to change without prior notification. We seek to update our research as appropriate, but various regulations may prevent us from doing so. Other than certain industry reports published on a periodic basis, the large majority of reports are published at irregular intervals as appropriate in the analyst's judgment.

Goldman Sachs conducts a global full-service, integrated investment banking, investment management, and brokerage business. We have investment banking and other business relationships with a substantial percentage of the companies covered by Global Investment Research. Goldman Sachs & Co. LLC, the United States broker dealer, is a member of SIPC (<https://www.sipc.org>).

Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients and principal trading desks that reflect opinions that are contrary to the opinions expressed in this research. Our asset management area, principal trading desks and investing businesses may make investment decisions that are inconsistent with the recommendations or views expressed in this research.

We and our affiliates, officers, directors, and employees will from time to time have long or short positions in, act as principal in, and buy or sell, the securities or derivatives, if any, referred to in this research, unless otherwise prohibited by regulation or Goldman Sachs policy.

The views attributed to third party presenters at Goldman Sachs arranged conferences, including individuals from other parts of Goldman Sachs, do not necessarily reflect those of Global Investment Research and are not an official view of Goldman Sachs.

Any third party referenced herein, including any salespeople, traders and other professionals or members of their household, may have positions in the products mentioned that are inconsistent with the views expressed by analysts named in this report.

This research is focused on investment themes across markets, industries and sectors. It does not attempt to distinguish between the prospects or performance of, or provide analysis of, individual companies within any industry or sector we describe.

Any trading recommendation in this research relating to an equity or credit security or securities within an industry or sector is reflective of the investment theme being discussed and is not a recommendation of any such security in isolation.

This research is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction where such an offer or solicitation would be illegal. It does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Clients should consider whether any advice or recommendation in this research is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The price and value of investments referred to in this research and the income from them may fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments.

Certain transactions, including those involving futures, options, and other derivatives, give rise to substantial risk and are not suitable for all investors. Investors should review current options and futures disclosure documents which are available from Goldman Sachs sales representatives or at <https://www.theocc.com/about/publications/character-risks.jsp> and https://www.goldmansachs.com/disclosures/cftc_fcm_disclosures. Transaction costs may be significant in option strategies calling for multiple purchase and sales of options such as spreads. Supporting documentation will be supplied upon request.

Differing Levels of Service provided by Global Investment Research: The level and types of services provided to you by Goldman Sachs Global Investment Research may vary as compared to that provided to internal and other external clients of GS, depending on various factors including your individual preferences as to the frequency and manner of receiving communication, your risk profile and investment focus and perspective (e.g., marketwide, sector specific, long term, short term), the size and scope of your overall client relationship with GS, and legal and regulatory constraints.

As an example, certain clients may request to receive notifications when research on specific securities is published, and certain clients may request that specific data underlying analysts' fundamental analysis available on our internal client websites be delivered to them electronically through data feeds or otherwise. No change to an analyst's fundamental research views (e.g., ratings, price targets, or material changes to earnings estimates for equity securities), will be communicated to any client prior to inclusion of such information in a research report broadly disseminated through electronic publication to our internal client websites or through other means, as necessary, to all clients who are entitled to receive such reports.

All research reports are disseminated and available to all clients simultaneously through electronic publication to our internal client websites. Not all research content is redistributed to our clients or available to third-party aggregators, nor is Goldman Sachs responsible for the redistribution of our research by third party aggregators. For research, models or other data related to one or more securities, markets or asset classes (including related services) that may be available to you, please contact your GS representative or go to <https://research.gs.com>.

Disclosure information is also available at <https://www.gs.com/research/hedge.html> or from Research Compliance, 200 West Street, New York, NY 10282.

© 2026 Goldman Sachs.

You are permitted to store, display, analyze, modify, reformat, and print the information made available to you via this service only for your own use. You may not resell or reverse engineer this information to calculate or develop any index for disclosure and/or marketing or create any other derivative works or commercial product(s), data or offering(s) without the express written consent of Goldman Sachs. You are not permitted to publish, transmit, or otherwise reproduce this information, in whole or in part, in any format to any third party without the express written consent of Goldman Sachs. This foregoing restriction includes, without limitation, using, extracting, downloading or retrieving this information, in whole or in part, to train or finetune a machine learning or artificial intelligence system, or to provide or reproduce this information, in whole or in part, as a prompt or input to any such system.